

TECHNOGYM S.p.A. (BIT: TGYM) — Investment Committee Summary

DCF valuation | v3 | 18 July 2026 | Analyst: Tanmay Gambhir | Companion workbook: Technogym_DCF_Model.xlsx

(Source of truth: live workbook. This summary is regenerated from the v3 model; all figures tie to `00 Executive Summary`.)

Recommendation

HOLD. Base fair value **€15.72** Gordon / ~€18.3 exit-multiple vs €15.19 spot (+3.5%) — below the >20% BUY hurdle. Rating conviction MODERATE (6.5/10). Entry with margin of safety below €14.50. A BUY requires the H1-2026 print (30 July) confirming Americas stabilisation and a credible first digital-KPI disclosure. Bear €8.82 / Bull €24.05. Illustrative probability-weighted fair value (40% Bear / 40% Base / 20% Bull, subjective): **€14.63** — not a headline number.

Business & Moat

Premium B2B fitness-equipment franchise (81% commercial revenue) with luxury-brand positioning (10 consecutive Olympics as exclusive supplier), direct field-sales distribution (68% of revenue — owns its customer relationships), an installed base of ~100k facilities generating service/replacement demand, and an embryonic connected-wellness software layer. Moat: brand + distribution density + operator switching costs. The unresolved question — and the stock's entire valuation debate — is whether the digital ecosystem ever monetises: the company discloses no digital KPIs; our explicit L-confidence estimate is ~€45m (4.4% of revenue).

Financial Quality & Capital Allocation

Metric	2022	2023	2024	2025
Revenue (€m)	721.5	808.1	901.3	1,019.3
Adj. EBITDA margin	18.3%	18.8%	19.8%	21.6%
Recurring FCF (€m)	—	—	116.4	129.9
Cash conversion (pre-tax FCF/EBITDA)	—	—	86%	82%

Net cash €156m, no bank debt; suppliers fund working capital (DPO ~221d). Dividend €0.38 (+extraordinary in 2025), 10% buyback authorisation. Founder-controlled (key-man risk); no M&A habit — organic compounder with a lazy balance sheet that provides a soft LBO floor (4.0–4.5x debt capacity ≈ €900m–1bn).

Valuation

Driver-based 10yr DCF: BtoB growth fading 9%→2.5%. **Digital P&L isolated (v3):** hardware EBITDA margin expands on its own operating leverage to ~20.75%, digital revenue carries its own ~60% EBITDA margin, and the total base margin is held at the defensible ~23.5% (2032) — the restructure is margin-neutral, so the rating does not move. WACC 7.75% (Bund 3.13% + 0.95β × 4.23% ERP + 0.6% weighted CRP — no BTP/CRP double-count); terminal g 2.25%, cross-checked by exit multiple. **Gordon implies a ~9.4x exit** — below today's ~13x and below the comp range (JHT 10.5x, Amer Sports 20.1x, Garmin 19.8x bracket the platform debate). TV = 63% of EV.

Isolating digital at its true margin shows the **platform option is worth ~€3.3/share** (base → bull-digital), versus ~€0.6 when it was blended into group margin — material, but it sits in the **bull case, not the base**. The May–July 2026 de-rate (19x→13x EBITDA, –30%) was multiple compression on Americas deceleration (Q1 +2.5%) and downgrades, not an earnings miss; our base sits ~€0.5 above spot — the de-rate was directionally correct and roughly fair. Consensus €19.3–20.6 implicitly pays for a faster digital ramp and ~24.5% margins.

Risks & Catalysts

Risks (ranked): BtoB capex cycle (5pp deceleration ≈ –€3.5–4.0/share); margin stall (bear €8.82); digital thesis failure/non-disclosure; Americas tariffs (17% of revenue); key-man; FX. Catalysts: H1-26 results (30-Jul); first digital KPI disclosure (thesis-defining); Olympic-year pipeline conversion; buyback activation.

What Has To Be True / What Changes My Mind

At €15.2 the market prices ~6–8% fading growth, ~22–23% margins, near-zero digital in the base. Mind-changers to BUY: Americas re-acceleration (not tariff deferral proving structural) and a first digital disclosure that underwrites the option. To bear: Americas confirming share loss; first margin decline in five years; a third year of digital silence. **Red-team / version revisions applied:** point estimate widened to a range; rating moved to **HOLD** after the v2 IFRS-16 lease-principal fix (–€1.6/sh) and the v3 digital isolation; exit-multiple cross-check promoted as primary TV defence; digital isolated so the bull–base spread reflects the option honestly rather than smuggling it into the margin endpoint.